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SaaS Sellability Checklist

The Under $500K ARR edition. You are here

Read your SaaS the way a buyer reads it. Check the foundations buyers test at your size, score where you stand, and see what to strengthen before the next stage.

Buyers do not pay for what you built. They pay for what transfers. Let's look at your company through their eyes.

Buyer Lens

At Under $500K ARR, buyers value your company on a sDE multiple. Here is what they look at first.

2.76x	7.4x	32
Median revenue multiple, BVR exit data	Median EBITDA multiple, BVR exit data	Items buyers test at your stage

Who Buys At This Size

Individual buyers

micro-PE and marketplaces (Acquire.com Flippa)

acqui-hires

Typical Deal Structure

Mostly cash at close under $1M; seller financing or earn-out common above that

Multiples In Full

Revenue: Under $2M band: 1.54x / 2.76x / 13.28x (25th / median / 75th).
EBITDA: Under $2M band: 4.7x / 7.4x / 14.6x.

25th percentile / median / 75th percentile. Source: BVR exit transaction data as cited in the LIVMO SaaS Exit Valuation Guide.

Top Buyer Concerns At This Size

Owner does everything

No clean financials

Churn unknown

How The Multiple Moves

Growth, retention and transferability set where you land in the range. The 25th percentile and the 75th percentile are the same business with different answers to the items in this checklist.

The next page shows the road from your stage to a strategic exit.

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Exit Roadmap

Your stage is Stage 1 of this roadmap. Each later stage adds buyers, raises the multiple, and raises the bar on the same items.

1

Under $500K ARR YOU ARE HERE

SDE multiple. Individual buyers, micro-PE and marketplaces (Acquire.com, Flippa), acqui-hires.

2

$500K to $2M ARR

SDE multiple, moving to EBITDA. Individual investors, search funds, small strategics, micro-PE.

3

$2M to $5M ARR

EBITDA or revenue multiple. Search funds, PE bolt-ons, strategic acquirers, family offices.

4

$5M to $20M ARR

EBITDA multiple or revenue multiple with Rule of 40. PE platforms, strategic acquirers, growth equity.

5

$20M+ ARR

EBITDA multiple or revenue multiple with Rule of 40. Institutional PE, public strategics, large PE-backed platforms.

Start with your own stage. Score it, then read what the next stage asks for.

Stage 1: Your Checklist You are here

Tick every box that is true today. Add the points at the end. Items worth 2 points are the ones buyers weight most.

Financial quality

7 items

- [ ] **Books are kept and closed at the standard your size requires** — 1 pt

  Benchmark: Cash basis is fine; books closed every quarter

  Why buyers care. Buyers model future cash flow from closed, consistent books. Cash-basis books work under $500K; above that, accrual is what buyers expect.
  Strengthen. Close the books on a fixed schedule; move to accrual by $500K ARR and shorten the close as you grow.

- [ ] **Chart of accounts separates recurring revenue, services, and COGS (hosting, support, third-party tools)** — 1 pt

  Benchmark: Recurring, services, and COGS on separate lines for 12+ months

  Why buyers care. Buyers rebuild gross margin and recurring revenue percentage from your P&L. Mixed categories block that.
  Strengthen. Build a SaaS chart of accounts with separate lines for subscription, services, and each COGS type.

- [ ] **Year-end financials prepared by a CPA, at the review level your size requires** — 1 pt

  Benchmark: CPA-prepared

  Why buyers care. Third-party financials cut diligence time and remove the first reason a buyer discounts your numbers.
  Strengthen. Engage a SaaS-experienced CPA; step up to review or audit as you grow.

- [ ] **Revenue is recognized over the contract term, with annual prepayments spread across 12 months** — 1 pt

  Benchmark: Monthly recognition; deferred revenue on the balance sheet

  Why buyers care. Buyers test revenue recognition first. Upfront booking of annual deals overstates revenue and understates deferred revenue.
  Strengthen. Recognize subscription revenue monthly and carry prepaid amounts as deferred revenue.

Financial quality, continued

- [ ] **Owner salary and personal expenses are tagged as add-backs with receipts** — 1 pt
  Benchmark: Add-back schedule maintained monthly
  Why buyers care. At this size buyers price on Seller's Discretionary Earnings. Every add-back needs proof.
  Strengthen. Keep a running add-back schedule with the support document for each line.

- [ ] **All tax filings are current and every dollar of revenue runs through the books** — 1 pt
  Benchmark: All filings current; no off-book revenue
  Why buyers care. Buyers inherit tax exposure in a stock deal and discount it in an asset deal.
  Strengthen. Bring payroll, sales tax, and income tax filings current; close any off-book channel.

- [ ] **No cash-flow crisis in the past 24 months and at least 3 months of operating cash on hand** — 1 pt
  Benchmark: 3 months of cash
  Why buyers care. Buyers read cash history as a test of management. A crisis in the trailing period raises the risk premium.
  Strengthen. Hold a cash reserve and track runway monthly.

Revenue quality

7 items

- [ ] **Recurring revenue is the required share of total revenue** — 1 pt
  Benchmark: 70%+
  Why buyers care. Recurring revenue is what buyers pay the SaaS multiple on. Services and one-time fees get a lower multiple or none.
  Strengthen. Productize services into subscriptions and separate one-time revenue in your reporting.

- [ ] **ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew** — 2 pts
  Benchmark: 40%+
  Why buyers care. Growth is the largest single driver of the multiple. Buyers read a multi-year CAGR with steady years as proof of product-market fit; one strong year does not count.
  Strengthen. Track ARR growth monthly by cohort and segment; fix retention before you add acquisition spend.

  > **Deal risk.** If your 2 to 3 year ARR CAGR is under 20%, or any year in that period was flat or down, buyers read it as a product-market fit problem. The business will be difficult to sell at this stage.

Revenue quality, continued

- [ ] **Gross revenue retention (annual) meets the benchmark** — 2 pts

  Benchmark: 80%+

  Why buyers care. GRR shows how much revenue stays without any upsell. Buyers treat it as the core risk number.

  Strengthen. Track churn reasons, strengthen onboarding, and intervene on at-risk accounts.

  > **Deal risk.** If your annual GRR is under 70%, the business will struggle to sell. Most buyers at this stage pass before they look at anything else.

- [ ] **Net revenue retention (annual) meets the benchmark** — 2 pts

  Benchmark: 95%+

  Why buyers care. NRR above 100% means your customer base grows without new sales. It is the strongest proof of product value.

  Strengthen. Add usage tiers or seat expansion and give customer success an expansion target.

- [ ] **Monthly logo churn is at or below the benchmark** — 1 pt

  Benchmark: Under 5%

  Why buyers care. Logo churn sets the customer lifetime, which sets LTV and the acquisition budget a buyer can justify.

  Strengthen. Segment churn by plan and acquisition channel, then cut the channels that bring churn-prone customers.

- [ ] **Pricing has at least 2 tiers or a usage path that lets customers spend more** — 1 pt

  Benchmark: 2+ tiers or usage-based pricing live

  Why buyers care. Expansion revenue depends on a pricing model that allows it. Flat pricing caps NRR at 100%.

  Strengthen. Add a tier, a seat count, or a usage meter that scales with customer value.

- [ ] **Failed-payment recovery is automated** — 1 pt

  Benchmark: Dunning live; involuntary churn under 1% monthly

  Why buyers care. Involuntary churn is the cheapest churn to fix. Buyers see unfixed dunning as neglect.

  Strengthen. Turn on dunning in your billing system and retry failed cards for 21 days.

Unit economics

4 items

- [ ] **Gross margin meets the benchmark with hosting, support, and onboarding in COGS** — 1 pt
  Benchmark: 70%+
  Why buyers care. Gross margin sets how much of each new dollar becomes profit. Buyers test it against the 70 to 80% SaaS norm.
  Strengthen. Move support and onboarding into COGS, then cut hosting cost and automate onboarding.

- [ ] **LTV to CAC ratio is tracked and meets the benchmark** — 2 pts
  Benchmark: Tracked; 2x+
  Why buyers care. LTV:CAC tells a buyer whether growth spend pays back. It is the efficiency number behind the growth number.
  Strengthen. Compute LTV on gross profit, include commissions and onboarding in CAC, and review by channel.

- [ ] **CAC payback period is at or under the benchmark** — 1 pt
  Benchmark: Under 18 months
  Why buyers care. Payback sets how much cash growth consumes. Buyers with a growth plan need payback they can fund.
  Strengthen. Raise prices, improve conversion, and shorten time to first value.

- [ ] **Profitability meets the benchmark for your size and valuation method** — 2 pts
  Benchmark: Profitable, or 12-month path to profit
  Why buyers care. Below $2M buyers pay on SDE. Above $5M they pay on EBITDA or on growth under the Rule of 40.
  Strengthen. Audit spend by department and set a margin target that fits your growth rate.

Customers

3 items

- [ ] **Customer concentration is below the benchmark** — 2 pts
  Benchmark: No customer over 20%
  Why buyers care. One lost customer should not change the price. Buyers discount concentrated revenue or ask for an earn-out on it.
  Strengthen. Diversify go-to-market and lock large accounts into multi-year contracts.

Customers, continued

- [ ] **One system holds every customer with MRR, start date, plan, and contract** — 1 pt
  Benchmark: Customer register exported monthly
  Why buyers care. The customer list is the first diligence request. It must tie to billing and to the P&L.
  Strengthen. Keep the billing system or CRM as the single source and export it monthly.

- [ ] **Onboarding is productized, with self-serve steps where possible** — 1 pt
  Benchmark: Documented onboarding; under 5 founder hours per customer
  Why buyers care. Onboarding cost sits in gross margin, and onboarding quality sets early churn.
  Strengthen. Write the onboarding checklist and automate the first 3 steps.

Owner and team

3 items

- [ ] **The founder can leave for the benchmark period with no drop in revenue or service** — 2 pts
  Benchmark: 2 weeks
  Why buyers care. If the business cannot run without you, a buyer is buying a job. Transferability sets the multiple.
  Strengthen. Take a planned absence, log what breaks, and fix each item.

- [ ] **At least 2 people can deploy to production and fix a critical bug** — 1 pt
  Benchmark: 2+ people with production access and runbook
  Why buyers care. A single engineer who holds the system is a key-person risk buyers price in.
  Strengthen. Cross-train a second engineer and document the deployment runbook.

- [ ] **Every role has a written description and the core processes have SOPs in cloud storage** — 1 pt
  Benchmark: Role descriptions and SOPs for all recurring processes
  Why buyers care. Documentation is how a buyer takes over operations without you.
  Strengthen. Write one SOP per recurring process and store them where the team works.

Product and technology

3 items

- [ ] **The product is cloud-hosted and multi-tenant, with no on-premise installs** — 1 pt
  Benchmark: 100% cloud-hosted
  Why buyers care. Delivery model sets margin and scalability. Buyers pay the SaaS multiple for cloud-native products.
  Strengthen. Migrate remaining installs to the cloud platform and sunset the legacy option.

Product and technology, continued

- [ ] **Code is in version control with a repeatable deployment and automated tests** — 1 pt
  Benchmark: Version control and deploy script
  Why buyers care. Technical diligence starts with the repo. Buyers look for process, not perfection.
  Strengthen. Set up CI/CD and cover the critical paths with automated tests.

- [ ] **Security meets the benchmark for your size** — 1 pt
  Benchmark: MFA, tested backups, access control
  Why buyers care. Security findings in diligence become price reductions or indemnities.
  Strengthen. Start with MFA, backups, and access control; add a penetration test and SOC 2 as you grow.

Market

1 items

- [ ] **The ideal customer profile is written down with segment, size, and average contract value** — 1 pt
  Benchmark: ICP documented; 70%+ of new customers match
  Why buyers care. A clear ICP lets a buyer judge the market and the growth plan. It also explains your churn.
  Strengthen. Write a 1-page ICP and check that 70%+ of new customers match it.

Legal and IP

4 items

- [ ] **The company is a corporation or LLC with a clean cap table and current founder agreements** — 1 pt
  Benchmark: Cap table and founder agreements current
  Why buyers care. Buyers buy a legal entity. Ownership must be clear before a letter of intent.
  Strengthen. Confirm the cap table with counsel and sign any missing founder or shareholder agreement.

- [ ] **Every employee and contractor who wrote code has signed an IP assignment** — 1 pt
  Benchmark: 100% of contributors signed
  Why buyers care. Without IP assignment the company does not own its own product.
  Strengthen. Audit contributors and collect signed assignments from each one.

Legal and IP, continued

- [ ] **Terms of service, privacy policy, and data processing terms are current** — 1 pt

  Benchmark: Terms updated within 24 months

  Why buyers care. Customer terms set what the buyer inherits, including liability and data rights.
  Strengthen. Update terms with counsel and have every customer accept the current version.

- [ ] **No open litigation, claims, or regulatory issues** — 1 pt

  Benchmark: No open matters

  Why buyers care. Buyers price open claims at the worst case and ask for an indemnity.
  Strengthen. Settle or document every open matter before you go to market.

Your Score

Add the points for every box you ticked. The maximum at your stage is 39 points across 32 items.

31+

Sellable at this stage. Buyers at your size will engage. Work on the next-stage items to move up the range.

20 to 30

Close, with work. Fix the 2-point gaps first; they move the multiple most.

Under 20

Not yet sellable at this stage. Start with Financial quality and Owner and team. Buyers stop reading when those fail.

Two items override the score: annual GRR under 70%, or a 2 to 3 year ARR CAGR under 20% with any flat or down year. Either one makes the business difficult to sell at this stage, whatever the total.

If You Want To Sell At This Stage

At this size buyers pay a multiple of SDE and most deals close on marketplaces. A $300K ARR product with 30% SDE margin sells for 2x to 4x SDE, or $180K to $360K. The checklist items that move the price most are clean books, documented churn, and a product that runs without you.

Check Your Numbers

Score the metrics behind the 2-point items with the LIVMO SaaS Valuation Calculator at saasvaluation.livmo.com. It rates ARR growth, GRR, NRR, LTV:CAC and margin against the same benchmarks.

Next: what changes when you reach $500K to $2M ARR.

Next Stage

To be valued as a $500K to $2M ARR company, 25 items change. 18 are new; the rest raise the bar you already meet.

F1	**Books are kept and closed at the standard your size requires** Next: Accrual basis; closed every quarter, monthly is better Now: Cash basis is fine; books closed every quarter
F5	**ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L** Next: Within 5% New at the next stage
F12	**Consistent historical financials cover the required number of years** Next: 2 years New at the next stage
R2	**ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew** Next: 30%+ Now: 40%+
R7	**Annual or multi-year contracts cover the required share of ARR** Next: 30%+ of ARR New at the next stage
R8	**Cohort retention is tracked by month of acquisition** Next: 24 months of cohort data New at the next stage
U2	**LTV to CAC ratio is tracked and meets the benchmark** Next: 3x+ Now: Tracked; 2x+
U4	**Profitability meets the benchmark for your size and valuation method** Next: SDE margin 30%+ Now: Profitable, or 12-month path to profit

Next Stage, Continued

U5	**ARR per employee meets the benchmark** Next: $150K+ New at the next stage
U6	**Sales and marketing spend is tracked by channel with cost per customer** Next: CAC by channel for 12+ months New at the next stage
C1	**Customer concentration is below the benchmark** Next: No customer over 15% Now: No customer over 20%
C3	**Largest customers are on written contracts that allow assignment on a change of control** Next: Top 10 customers New at the next stage
C4	**Customer satisfaction is measured at least once a year (NPS or survey)** Next: Annual survey New at the next stage
C5	**Support runs on a documented process with a named owner who is not the founder** Next: Support owner named New at the next stage
O1	**The founder can leave for the benchmark period with no drop in revenue or service** Next: 1 month Now: 2 weeks
O3	**Sales closes without the founder at the required level** Next: A second person closes deals New at the next stage
O7	**Key employees have employment agreements and a retention or equity plan** Next: Agreements signed New at the next stage

Next Stage, Continued

O8	**An org chart shows every role and reporting line** Next: Org chart current within 90 days New at the next stage
P2	**Code is in version control with a repeatable deployment and automated tests** Next: CI/CD in place Now: Version control and deploy script
P3	**Architecture and operations are documented well enough for a new engineer to deploy within a week** Next: Architecture doc and runbooks current New at the next stage
P4	**Third-party dependencies and open-source licenses are inventoried** Next: License inventory current; no unresolved copyleft New at the next stage
P6	**Uptime is tracked and meets the benchmark** Next: 99.5%+ New at the next stage
P7	**A written 12-month product roadmap exists** Next: Roadmap updated within 6 months New at the next stage
P8	**Differentiation is evidenced with win/loss data or documented reasons customers chose you** Next: 3 documented reasons New at the next stage
L4	**Trademarks are registered and all domains are owned by the company** Next: Mark registered; domains in company account New at the next stage

STAGE 2 OF 5

$500K to $2M ARR

SDE multiple, moving to EBITDA. Individual investors, search funds, small strategics, micro-PE.

Multiples

Revenue: Under $2M band: 1.54x / 2.76x / 13.28x.
EBITDA: Under $2M band: 4.7x / 7.4x / 14.6x.

Deal Structure

60% to 80% cash at close; seller note or earn-out for the balance

Top Buyer Concerns

- Founder-led sales
- Revenue reconciliation gaps
- Single-person engineering

What Changes At This Stage

- ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L
- Consistent historical financials cover the required number of years
- Annual or multi-year contracts cover the required share of ARR
- Cohort retention is tracked by month of acquisition
- ARR per employee meets the benchmark
- Sales and marketing spend is tracked by channel with cost per customer
- and 19 more

If You Want To Sell At This Stage

Buyers here pay 2.8x revenue at the median, or 4x to 8x SDE. A $1.2M ARR business with 35% SDE margin and 80%+ GRR sells for $1.7M to $3.4M. Growth above 30% and NRR above 100% push you to the top of the range.

STAGE 3 OF 5

$2M to $5M ARR

EBITDA or revenue multiple. Search funds, PE bolt-ons, strategic acquirers, family offices.

Multiples

Revenue: $2M to $5M band: 1.63x / 3.26x / 7.32x.
EBITDA: $2M to $5M band: 5.3x / 9.7x / 29.5x.

Deal Structure

70% to 90% cash at close; rollover equity offered by PE

Top Buyer Concerns

- No second-in-command
- Concentration
- Security and compliance gaps

What Changes At This Stage

- A live financial dashboard tracks ARR, churn, cash, and margin by month
- A 12-month budget exists and last year's actuals landed within 10% of plan
- Expansion ARR provides the required share of ARR growth
- A second-in-command or general manager runs day-to-day operations
- Hiring and onboarding follow a documented process
- Integrations or an API create switching costs
- and 31 more

If You Want To Sell At This Stage

This is the first stage where PE and strategics compete for the deal. The median revenue multiple is 3.3x; top-quartile deals reach 7x. A $3.5M ARR company with 25% growth, 90% GRR and a GM in place can expect $10M to $15M. Without the GM, buyers add an earn-out.

STAGE 4 OF 5

$5M to $20M ARR

EBITDA multiple or revenue multiple with Rule of 40. PE platforms, strategic acquirers, growth equity.

Multiples

Revenue: $5M to $20M band: 1.52x / 2.9x / 6.86x; top quartile above 9x.
EBITDA: $5M to $20M band: 8.7x / 16.9x / 28.3x.

Deal Structure

Cash at close with 10% to 30% rollover for PE; escrow of 5% to 10%

Top Buyer Concerns

- Leadership gaps
- Forecast accuracy
- SOC 2
- Customer success depth

What Changes At This Stage

- A Quality of Earnings report or QoE-style package is ready before you go to market
- Financial foundations are in place: accrual books, monthly close within 15 days, SaaS chart of accounts, monthly revenue recognition, deferred revenue tracked
- A customer success function owns renewals and expansion
- A leadership team covers product, engineering, sales, and finance
- Operational foundations are in place: role descriptions, SOPs, 2+ people on production, productized onboarding
- Technical foundations are in place: cloud-hosted, CI/CD, automated tests, 2+ engineers on production
- and 23 more

If You Want To Sell At This Stage

Buyers run a full process with QoE and legal diligence. The median EBITDA multiple is 16.9x; revenue multiples run 2.9x at the median and above 9x for top-quartile growth and retention. An $8M ARR company that meets the Rule of 40 with 95% GRR can expect $25M to $50M.

STAGE 5 OF 5

$20M+ ARR

EBITDA multiple or revenue multiple with Rule of 40. Institutional PE, public strategics, large PE-backed platforms.

Multiples

Revenue: No BVR band above $20M; use the $5M to $20M band as a floor and public comparables as a ceiling.
EBITDA: $5M to $20M band as a floor: 8.7x / 16.9x / 28.3x.

Deal Structure

Cash at close; management rollover; representations and warranties insurance

Top Buyer Concerns

- Audit quality
- Leadership depth
- Comparables
- Integration risk

What Changes At This Stage

- Year-end financials prepared by a CPA, at the review level your size requires
- ARR, churn, and customer counts in your billing or CRM system reconcile to the P&L
- Consistent historical financials cover the required number of years
- ARR growth, as a 2 to 3 year CAGR, meets the benchmark, and every year in that period grew
- Net revenue retention (annual) meets the benchmark
- Monthly logo churn is at or below the benchmark
- and 8 more

If You Want To Sell At This Stage

Buyers at this size run a banker-led auction. Price depends on growth, NRR and the comparables in your category more than on any checklist item. The items here are the ones that keep the price intact through diligence.

Next Steps

You now know what buyers test at your size and what to strengthen next. The fastest way to turn this into a number is a conversation.

Book a 30-minute exit assessment with LIVMO. We walk through your score, your metrics, and the 3 items that move your price most. No pitch; a buyer's read of your company.

Book a 30-Minute Exit Assessment

calendly.com/khaledazar/exit-builder

LIVMO is a tech-focused M&A advisory in San Diego. Featured in Inc. and Forbes. Axial award recipient. Member of IBBA and M&A Source. We live by radical candor and have been from the weeds to the forest.

Score your metrics first at saasvaluation.livmo.com.

You deserve an exit on YOUR terms. Let's find out what that number is.